# Practice Case 3 — Prepared Round Simulation



### Klangfest Bielefeld: One Radical Idea

**ASPER ABCC 2027 Training Programme — Prepared Case (Simulation of the 25%-weight Prepared Round)**

| Parameter | Value |
|---|---|
| Format | Prepared case, released 14 days before presentation |
| Presentation | 25 minutes, hard stop |
| Q&A | 15 minutes, judges role-play the supervisory board |
| Slides | Unlimited (main deck + appendix permitted) |
| Weight in practice competition | 25% |
| Outside research | Allowed and expected; must be sourced on-slide |

***Design note for the coach.*** *Structure, ask and round discipline mirror the ABCC 2026 prepared case (Jazz Winnipeg). All organisations, people and figures below are fictional and were invented for training purposes. Real venue and festival names are used only as scenery or as illustrative benchmarks; none of the data attributed to them is real. Any resemblance to actual persons or financial results is coincidental.*

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*Then the coach-only teaching note — do not read it before you have presented.*

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## THE CASE

### Prologue: The July Board Meeting

On the evening of 10 July 2026, the Aufsichtsrat of Klangfest Bielefeld gGmbH met in the rehearsal room above the Bunker Ulmenwall, the 90-seat jazz cellar where the festival was born. It was 31 degrees outside and not much cooler inside. The treasurer needed only one slide: free reserves of €203,000, a third consecutive deficit, and a projection showing the reserves gone before the festival's forty-second edition.

The 39th Klangfest — the festival kept its year-based edition numbering despite the cancelled 2020 — had closed four weeks earlier to warm reviews. Deutschlandfunk called the closing commission "the bravest hour of German festival programming this year." Its accounts were not yet closed; what lay on the table were the audited FY2025 figures: the previous edition had lost €96,000, the third consecutive deficit.

Board chair Dr. Ute Sandmann, a retired Sparkasse executive who has chaired the body since 2019, ended the meeting with the mandate that produced this case:

> *"We have spent five years making the festival five per cent better and ten per cent poorer. I do not want ten polite improvements. Bring me **one radical operational idea** — one new economic engine — big enough to change our economics within three years and concrete enough to start in January. Costed, staffed, and survivable if it rains."*

The board has retained your four-person strategy team to develop that idea and present it at the board retreat in November 2026.

### From Cellar Club to City Festival

Klangfest Bielefeld began in 1988 as the "Bielefelder Jazznächte," three self-organised concert nights staged by the members of Jazzclub Bielefeld e.V. in the Bunker Ulmenwall. Through the 1990s it grew edition by edition — first into the churches, then into the Rudolf-Oetker-Halle, eventually across the city. In 2004 the association spun the festival into a charitable limited company, Klangfest Bielefeld gGmbH, with the Trägerverein as sole shareholder; in 2009 the festival took its current name and broadened its remit from jazz to "jazz and adjacent cultures" — improvised music, global sounds, soul, electronics, spoken word.

By 2019 Klangfest was a ten-day, sixty-plus-event festival drawing just under 30,000 visits, with national radio partnerships and a self-mocking marketing line that played on Germany's favourite conspiracy theory: *"Bielefeld gibt es nicht. Den Klang schon."* ("Bielefeld doesn't exist. The sound does.")

The pandemic cancelled the 2020 edition outright and shrank 2021 to a courtyard format. The festival returned at full length in 2022 — and has never returned to its old numbers. Attendance has settled roughly 20% below 2016, the average visitor has become visibly older, and the recovery-era federal funds that cushioned 2021–2023 have now expired (Exhibits 1–3).

### The Programme and the People

Artistically, Klangfest is in the best shape of its life. Artistic Director **Katharina Brandt** (in post since 2014, previously a curator at a major NRW concert house) has built a national reputation on three pillars: adventurous headline curation, two to three commissioned world premieres per edition, and **KlangSchule**, an education programme that put 3,200 Bielefeld pupils into workshops and school concerts in 2026. WDR 3 broadcasts four Klangfest concerts a year; two Deutscher Jazzpreis winners premiered their award-cited work in Bielefeld. The Land grant from the NRW culture ministry is, in the ministry's own review language, "tied to the festival's distinctive curatorial profile."

Commercially, the festival is run by Managing Director **Marc Hentschel**, hired in 2021 after fourteen years with a national live-entertainment promoter. Hentschel inherited a house with, as he puts it, "a world-class product and a hobbyist's balance sheet."

The two directors respect each other and disagree about nearly everything that matters. Hentschel wants fewer, larger, headline-driven shows, aggressive price differentiation, and a corporate hospitality product: "We are running a €1.9 million company on ten days of weather luck and the goodwill of a city treasurer." Brandt sees in every such proposal the festival's slow conversion into an event brand: "The day we book by spreadsheet is the day we lose the artistic profile — and with it the Land funding, the broadcasters, and our reason to exist. Nobody subsidises a second-rate open-air." The 2024 budget round nearly broke over a proposed pop-jazz arena headliner; the compromise (no headliner, no price rise) satisfied no one and produced that year's €109,000 deficit.

The board considers both directors essential. Any credible plan must give both a future.

### The Audience

The demand-side picture (Exhibits 1–2) worries the board more than any single financial line. Total visits fell from 31,400 (2016) to 24,800 (2025); paid attendance fell faster, from 21,900 to 16,900, while average paid fill drifted from 81% to about 70%. The audience is greying: visitors aged 60+ rose from 32% to 43% of the audience in six years; under-30s fell from 14% to 9%. First-time visitors are down to 16%.

The free open-air programme in Ravensberger Park remains genuinely popular — roughly 7,900 visits across three days in 2026, families included — but converts poorly: CRM matching suggests fewer than 5% of identifiable free-stage visitors bought a ticket to anything within the following twelve months. The Bunker Ulmenwall sells out almost every night at 96% fill and holds 90 people; scarcity there is atmospheric but economically meaningless.

The catchment is real: Ostwestfalen-Lippe has 2.1 million inhabitants, above-average purchasing power, and one of Germany's densest concentrations of family-owned Mittelstand firms. But Bielefeld itself has 334,000

residents, late-evening regional transit is thin, and the nearest comparable jazz events (Moers, Münster, Hamburg) are two to three hours away — far enough not to compete for a Tuesday audience, close enough to compete for a destination weekend.

### How the Money Works

Klangfest's income statement (Exhibits 3–4) tells a simple story: a publicly anchored revenue base that no longer grows, and self-generated income that has eroded from 53% of total income in 2019 to 45% in 2025.

- **City of Bielefeld (€480k):** the largest single funder. The grant has been frozen since 2024. The Kulturamt is supportive, but the city budget is under consolidation pressure; the head of the culture office has told Hentschel privately to plan for "a review in 2027 that could take up to ten per cent."
- **Land NRW (€320k):** stable, explicitly linked to artistic excellence and the education programme. Not a growth line.
- **Federal and project funds (€95k):** the post-pandemic recovery programmes that paid out €180k of the €210k federal line in 2022 have expired; this line is now small, competitive and annual.
- **Foundations (€120k):** loyal but project-bound.
- **Sponsorship (€292k):** the sore point. Sponsorship has fallen 29% since 2019, and 41% of what remains comes from a single anchor: Westkrone Nahrungsmittel GmbH & Co. KG, a Bielefeld family food group, at €120k per year since 2011. In May 2026 Westkrone gave notice that it will not renew beyond 31 December 2026, citing a shift of marketing budget "toward sport and employee experience." Its CMO added, in a sentence Hentschel has quoted at every meeting since: "If Klangfest offered something our four thousand employees could actually touch all year, we would be having a different conversation."
- **Tickets (€478k) and other earned income (€67k):** stagnant volume at slowly rising prices. "Other" consists mainly of the 640-member Freundeskreis (€32k), site concessions (€21k) and workshops/merchandise (€14k).

Costs, meanwhile, ride the sector's inflation: technical production is roughly 30% more expensive than 2019, artist fees about 20% (the festival also carries GEMA rights fees and the Künstlersozialkasse levy), and security, insurance and ticketing fees have all repriced upward. The 2025 response — cutting the programme from 61 to 55 events — closed only €13k of a €109k gap. The auditor has warned that if free reserves fall below roughly €150k, the next annual report will require an explicit going-concern discussion. At the current run-rate, that happens in 2027 — before counting the Westkrone exit.

### Venues: A Festival Without a Home

Klangfest owns no building. Every June it assembles a temporary city out of rented rooms (Exhibit 5): the historic Rudolf-Oetker-Halle (whose June availability is squeezed by the resident orchestra), the Lokschuppen industrial hall (whose site enters a municipal redevelopment review in 2028), the Hechelei at Ravensberger Park, the Forum club (an independent promoter with its own calendar), the municipal theatre with its union stage crews and cost minimums, churches that forbid amplification, and the free park stage, which sits under a 22:00 noise curfew and a firm political expectation that it remains free.

This produces three structural facts. First, roughly 8% of the budget leaves the house as rent for ten days of access. Second, capacity is what the city happens to have, not what the programme needs — the festival's hottest room holds 90 people. Third, fifty weeks a year, the brand is dark.

One door may be open. The city owns **Güterbahnhof Ost**, a vacant 3,400 m² freight depot near the eastern ring, empty since 2019. The economic development office has signalled that it would consider a long Erbbaurecht lease at symbolic rent for a cultural anchor tenant with a credible business plan — renovation estimated at €2.6–3.0 million for a 650-standing/380-seated hall plus studio and gastronomy space. The signal comes with a clock: absent a serious cultural concept by mid-2027, the site goes to commercial marketing.

### What Has Been Tried

The festival is not naive about change; it is small (6.5 permanent FTE plus roughly 110 festival volunteers), and its experiments have been sized accordingly (Exhibit 8). A 2024 streaming pilot reached 21,400 views and earned €412 in donations against €18k of cost. A 2025 winter club series — six concerts in the off-season — sold 1,810 tickets at 92% average fill and cleared a €9k contribution: encouraging, immaterial. Fourteen unsolicited corporate inquiries for private events and staff formats arrived in 2025; twelve were declined for lack of capacity. Merchandise remains a table, not a business.

Each larger idea has died in the same crossfire: too commercial for Brandt, too small for Hentschel, too risky for a house with €203k of reserves. Hence the board's insistence on a single, decisive move rather than

another season of pilots.

### The Mandate

The board's resolution of 10 July 2026 sets the assignment and its guardrails:

1. **One idea.** Recommend **one** radical new operational idea — a new economic engine, not a bouquet of optimisations. Supporting measures may orbit the engine but must not obscure it.
2. **Three-year transformation targets (by end of FY2029):** (a) structural break-even excluding one-off grants; (b) self-generated income (tickets, sponsorship, other earned) of at least **60%** of total income, from 45% today; (c) free reserves rebuilt to at least **€400k**.
3. **Mission constraints.** Charitable (gemeinnützig) status, the KlangSchule education programme, and at least one free-access format must survive. Proposals may use a taxable subsidiary (GmbH) for commercial activity.
4. **Funding realism.** Plan on flat-to-declining public grants; the plan must remain viable if the city cuts 10% from 2027. One relevant opportunity exists: the (fictional) **NRW Kultur-Innovationsfonds** offers one-off matching grants of up to €600k (1:1 match required) for structural transformation projects; applications close March 2027, decisions June 2027, funds available FY2028, municipal endorsement required.
5. **Financial capacity.** Reserves may be drawn down to a floor of €100k; debt capacity is limited to roughly €800k against a municipal guarantee; a capital campaign among Freundeskreis and regional firms is plausible but unproven.
6. **People.** The plan must state explicitly how the artistic and commercial mandates — and the two directors — coexist within it.

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## EXHIBITS (CASE DATA)

*All figures fictional; monetary values in € thousands unless stated. Ticket income is VAT-exempt under §4 Nr. 20a UStG; sponsorship is shown net of 19% VAT.*

**Exhibit 1 — Attendance and Ticketing, 2016–2025**

| Year | Events | Total visits | Paid attendance | Paid capacity | Avg. fill | Avg. ticket price | Ticket revenue (€k) |
|---|---|---|---|---|---|---|---|
| 2016 | 58 | 31,400 | 21,900 | 27,000 | 81% | €24.10 | 528 |
| 2018 | 60 | 30,200 | 20,800 | 26,600 | 78% | €25.30 | 526 |
| 2019 | 62 | 29,800 | 20,300 | 26,900 | 75% | €26.00 | 528 |
| 2022 | 55 | 24,900 | 17,600 | 24,400 | 72% | €26.80 | 472 |
| 2023 | 61 | 26,400 | 18,300 | 25,800 | 71% | €27.20 | 498 |
| 2024 | 61 | 25,600 | 17,400 | 25,600 | 68% | €27.90 | 485 |
| 2025 | 55 | 24,800 | 16,900 | 24,300 | 70% | €28.30 | 478 |

*2020 cancelled; 2021 reduced format (24 events, 6,100 visits) excluded from trend. Total visits include free open-air attendance.*

**Exhibit 2 — Audience Profile, Visitor Surveys 2019 vs. 2025**

| Indicator | 2019 | 2025 |
|---|---|---|
| Age under 30 | 14% | 9% |
| Age 30–44 | 21% | 17% |
| Age 45–59 | 33% | 31% |
| Age 60+ | 32% | 43% |
| Resident in Bielefeld | 58% | 61% |
| Rest of OWL region | 27% | 28% |
| Rest of Germany / international | 15% | 11% |
| First-time visitors | 24% | 16% |
| Attending 5+ consecutive years | 31% | 44% |
| Staying overnight in Bielefeld | 9% | 6% |

| Indicator | 2019 | 2025 |
|---|---|---|
| Avg. on-site spend (F&B, merchandise) | €11.40 | €13.10 |
| Would recommend the festival | 87% | 84% |

*n = 1,150 (2019), 1,020 (2025). On-site spend flows largely to third-party concessionaires; the festival retains a fee (in "other earned income").*

**Exhibit 3 — Income by Source (€k)**

| Source | 2019 | 2022 | 2023 | 2024 | 2025 |
|---|---|---|---|---|---|
| City of Bielefeld (Kulturamt) | 430 | 455 | 470 | 480 | 480 |
| Land NRW (MKW) | 290 | 300 | 315 | 320 | 320 |
| Federal & other project grants | 60 | 210 | 130 | 105 | 95 |
| Foundations | 95 | 110 | 120 | 118 | 120 |
| **Public & foundation subtotal** | **875** | **1,075** | **1,035** | **1,023** | **1,015** |
| Sponsorship & advertising | 410 | 348 | 335 | 312 | 292 |
| Ticket revenue | 528 | 472 | 498 | 485 | 478 |
| Other earned income | 58 | 55 | 70 | 66 | 67 |
| **Total income** | **1,871** | **1,950** | **1,938** | **1,886** | **1,852** |
| Self-generated share | 53% | 45% | 47% | 46% | 45% |

*2025 sponsorship includes €120k from anchor sponsor Westkrone (41% of the sponsorship line), which will not renew beyond 2026. 2022 federal line inflated by pandemic recovery programmes.*

**Exhibit 4 — Summary Income Statement, 2023–2025 (€k)**

| Line | 2023 | 2024 | 2025 |
|---|---|---|---|
| Total income | 1,938 | 1,886 | 1,852 |
| Artistic fees, travel & hospitality | 688 | 694 | 672 |
| Production, technical & security | 442 | 452 | 438 |
| Venue hire | 158 | 160 | 156 |
| Personnel (permanent staff) | 366 | 376 | 382 |
| Marketing & communications | 168 | 160 | 152 |
| Administration, rights & fees (GEMA, KSK, insurance, ticketing) | 154 | 153 | 148 |
| **Total expenses** | **1,976** | **1,995** | **1,948** |
| **Net result** | **−38** | **−109** | **−96** |
| Free reserves, year-end | 408 | 299 | 203 |

*Seasonal crew and volunteers' expenses are contained in the production line. 6.5 permanent FTE.*

**Exhibit 5 — Venue Portfolio, 2025 Edition**

| Venue | Type | Capacity | Ticketed events | Avg. fill | Hire cost / night | Constraint |
|---|---|---|---|---|---|---|
| Rudolf-Oetker-Halle | Historic concert hall | 1,480 | 4 | 74% | €9,800 | June availability limited (orchestra residency) |
| Lokschuppen | Industrial hall | 1,600 (standing) | 5 | 62% | €7,200 | Site enters redevelopment review 2028 |
| Hechelei (Ravensberger Park) | Heritage hall | 550 | 6 | 65% | €3,400 | — |
| Forum | Club | 600 (standing) | 6 | 78% | €3,100 | Independent promoter; scheduling friction |
| Theater Bielefeld | Municipal theatre | 720 | 2 | 69% | €6,500 | Union crews; high technical minimums |

| Venue | Type | Capacity | Ticketed events | Avg. fill | Hire cost / night | Constraint |
|---|---|---|---|---|---|---|
| Bunker Ulmenwall | Jazz cellar | 90 | 10 | 96% | €450 | Sells out; capacity immaterial |
| Churches (Süsterkirche a.o.) | Sacred spaces | 380 | 3 | 71% | €900 | No amplification |
| Ravensberger Park main stage | Open air, free entry | ~5,000/day | 3 days (19 free sets) | n/a | €12,600/day site cost | 22:00 noise curfew; free entry politically expected |

*Paid capacity across ticketed events 2025: 24,300 (reconciles to Exhibit 1). Available option: Güterbahnhof Ost, city-owned vacant freight depot (3,400 m²; ~650 standing / 380 seated post-renovation; renovation estimate €2.6–3.0m; symbolic-rent Erbbaurecht signalled; city decision window closes mid-2027).*

**Exhibit 6 — Comparable Festivals (Illustrative Training Data)**

| Festival | Format | Days | Attendance | Budget (€m) | Self-generated share | Public share | Model note |
|---|---|---|---|---|---|---|---|
| **Klangfest Bielefeld** | Citywide multi-venue | 10 | 24,800 | 1.85 | 45% | 55% | Classic grant-anchored model |
| moers festival | Curated avant-garde | 4 | ~40,000 incl. free | 2.4 | ~30% | ~65% | Strong municipal backing; camping; large free programme |
| Elbjazz, Hamburg | Site-based harbour festival | 2 | ~25,000 | 3.2 | ~85% | <10% | Private promoter; day-pass model; corporate partners |
| jazzopen Stuttgart | Premium city open-air | 10 | ~45,000 | 6.5 | ~90% | <5% | Headliner-driven; hospitality packages |
| Jazzfest Berlin | Curatorial flagship | 4 | ~12,000 | 1.8 | ~25% | ~70% | Federal institutional frame |
| Copenhagen Jazz Festival | City-wide platform | 10 | ~250,000 incl. free | 4.0 | ~55% | ~25% | 1,000+ events staged by partner venues under one umbrella |
| Leverkusener Jazztage | Club anchor + media | 16 | ~20,000 | 1.9 | ~75% | ~15% | TV/streaming media partnership |

*All figures are fictionalised estimates constructed for classroom use; do not cite outside this exercise.*

**Exhibit 7 — Sponsorship Market and OWL Corporate Survey**

### (a) German sponsorship market (illustrative estimates, € billions):

| | 2019 | 2022 | 2025 |
|---|---|---|---|
| Total sponsorship volume | 4.4 | 4.6 | 5.1 |
| Sport share | 62% | 64% | 66% |
| Culture share | 13% | 12% | 11% |
| Culture volume (€bn) | 0.57 | 0.55 | 0.56 |

### (b) Survey of 42 OWL marketing directors (fictional "OWL Marketingclub" survey, 2025) — "Which culture-sponsorship formats would justify budget?"

| Format | High interest |
|---|---|
| Employee engagement / staff cultural offers | 68% |
| B2B hospitality and networking formats | 55% |
| Youth, education and ESG-linked programmes | 52% |
| Regional visibility (hometown presence) | 71% |
| Pure logo visibility on stage and print | 18% |
| National media reach | 21% |

**(c) Typical annual culture-sponsorship tickets, OWL:** local SME €5–25k; larger Mittelstand €25–100k; corporate group level €100k+ (rare; usually tied to year-round activation).

**Exhibit 8 — Digital Reach and Year-Round Pilots**

| Indicator | Value (2025/26) |
|---|---|
| Newsletter subscribers (open rate) | 14,200 (41%) |
| Instagram / TikTok followers | 11,300 (+9% y/y) / 1,900 |
| Freundeskreis members (fee; renewal rate) | 640 (€50/yr; 91%) |
| Streaming pilot 2024 (3 concerts) | 21,400 views; €412 donations; cost €18k |
| Winter club series pilot 2025 (6 concerts) | 1,810 tickets; avg. €21; revenue €38k; direct cost €29k; contribution +€9k; 92% fill |
| Unsolicited corporate booking inquiries 2025 | 14 received; 12 declined (no capacity) |

## YOUR TASK

You are the strategy team retained by the Aufsichtsrat of Klangfest Bielefeld gGmbH. You will present to the board (played by the judging panel) at its November retreat.

**Required content**

Your presentation must:

1. **Diagnose** the economic problem in the board's terms, using the case exhibits (cite exhibit numbers on-slide; outside research is encouraged and must be sourced).
2. **Recommend ONE radical new operational idea** — a single new economic engine. Explain precisely why it is radical, why it is feasible for this organisation, and why you rejected the closest alternatives.
3. **Prove the economics:** a three-year financial plan (FY2027–FY2029) with explicit assumptions, a bridge to the board's three targets (structural break-even; ≥60% self-generated income; ≥€400k reserves), a funding plan for any investment, and sensitivity analysis on the two or three assumptions that matter most.
4. **Plan the execution:** milestones, owners, first-100-days actions, and the critical external deadlines in the case (Westkrone exit 31 Dec 2026; Innovationsfonds application March 2027; Güterbahnhof decision window mid-2027; city budget review 2027).
5. **Manage the people and risks:** how Brandt's artistic mandate and Hentschel's commercial mandate both live inside your idea; the top risks with mitigations and a downside plan that keeps reserves above the €100k floor.

**Round rules (mirrors the ABCC prepared-round discipline — treat as binding)**

| Rule | Detail |
|---|---|
| Preparation window | Exactly 14 days: case release Monday 4 Jan 2027, 09:00 CET |
| **Submission deadline** | **Monday 18 Jan 2027, 09:00 CET** (start of W25 in the team plan; the case's fictional "today" remains July 2026) — upload final deck (.pptx, 16:9, plus PDF export) to the team drive folder `/submissions/case3/`; coach confirms receipt |
| File naming | `TEAM_Klangfest_Prepared_FINAL.pptx` — the .pptx is the locked file you present from (mirrors the ABCC's .pptx-only rule); the PDF export is a supplementary safety copy |
| Late penalty | −5 points (of 100) per commenced hour late; more than 12 hours late scores zero for the round |
| Lock rule | No edits after the deadline. You present from the submitted file exactly. Printed or verbal corrections of the deck are not permitted |
| Slides | Unlimited; appendix slides may be shown **only** during Q&A |
| Presentation | 25:00 hard stop; yellow card at 5:00 and red card at 1:00 remaining, in both the presentation and the Q&A — exactly as in Winnipeg (an optional 10:00 call is a training-only extra); you will be stopped mid-sentence |
| Q&A | 15:00; any judge may ask any team member; all four members must present in the main 25 minutes |
| Conduct | Business attire; no props beyond the deck; no live software demos |
| Weight | 25% of the overall practice-competition score |

Submitting on time, in the right format, at final quality is part of the assessed skill. In Winnipeg there is no grace period; there is none here.

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## === TEACHING NOTE (coach only) ===

### 1. Purpose and Fit

This case trains the specific muscle the ABCC prepared round rewards: a two-week deep dive ending in one confident recommendation, defended for 15 minutes by all four members. The design deliberately mirrors the Jazz Winnipeg 2026 ask ("one radical operational idea") while moving the setting to the team's home region, forcing them to convert local familiarity into evidence rather than anecdote. The finance student should own Section 3 economics; the innovation student the option architecture; the CS student the data/platform angles and the sensitivity model; the generalist the stakeholder and implementation story.

### 2. The Diagnosis Strong Teams Should Reach

The exhibits are built to support a quantified, four-line diagnosis:

1. **Structural, not cyclical deficit:** −€38k → −€109k → −€96k with reserves of €203k gives roughly two years of runway (Exhibit 4); the auditor's €150k going-concern threshold is breached in 2027 on the run-rate.
2. **The 2027 cliff:** Westkrone's exit (−€120k) plus a possible 10% city cut (−€48k) widen the structural gap toward −€250k *before* any response. Urgency is in the case, not optional.
3. **Erosion of self-generation:** 53% → 45% since 2019 (Exhibit 3); the board's 60% target therefore implies roughly **+€600k of new gross self-generated revenue** by 2029 (see §5), unreachable by pricing tweaks on 16,900 paid tickets.
4. **Asset poverty with one open door:** no owned venue, ten revenue days per year, a 90-seat hottest room — and a city-owned depot available at symbolic rent with a mid-2027 deadline (Exhibit 5).

Teams that never compute lines 2 and 3 will drift into incrementalism; push them back to the exhibits.

### 3. Solution Space (at least four defensible engines)

The case is engineered so that at least four genuinely different "engines" are defensible. None is the single right answer; judges score the fit between diagnosis, idea and numbers. Rough year-3 economics below assume competent execution and are for coach calibration only.

#### Option A — "Klanghaus 365": year-round home at Güterbahnhof Ost + membership platform

Convert Klangfest from a 10-day event into a year-round music house (approx. 120 event nights, studios, gastronomy, rehearsal and education space) with the festival as annual flagship; build a 2,500-member subscription base on the Freundeskreis nucleus (Exhibit 8: 91% renewal is the tell).

- **Sketch economics (Y3):** new revenue ≈ €1.15m (ticketing ~€590k, memberships ~€240k, third-party hire ~€140k, F&B margin ~€180k); new fixed costs ≈ €780k (staff +4.5 FTE, building opex, programme) → **net ≈ +€350–400k** plus a stronger sponsorship story. Capex €2.8m bridged via Innovationsfonds €600k + city building grant + capital campaign + ≤€800k guaranteed loan.
- **Pros:** recurring revenue; hard asset; audience development engine addressing Exhibit 2; matches the Innovationsfonds and the city's Güterbahnhof clock; both directors gain (curation year-round; commercial venue business).
- **Cons:** highest execution risk (construction, utilization ~55%+ needed); fixed-cost trap in a 334k city; competitive backlash from Forum/Bunker; Y1–Y2 cash-negative — downside plan essential.
- **Likely judge challenge:** "Your reserves are €203k. Walk me through the month you sign the construction contract."

#### Option B — "Klangfest OWL": festival-as-platform (Copenhagen/fringe model)

Stop producing everything; become the umbrella. Partner venues and promoters across six OWL cities stage 250–300 events under the Klangfest brand and window; the gGmbH keeps a curated flagship core (~20 productions) and monetises the platform: participation fees, central ticketing rake (8–10%), region-wide umbrella sponsorship against 100k+ reach, media partnership.

- **Sketch economics (Y3):** ticketing rake ~€170k + participation fees ~€135k + sponsorship uplift ~€300k + media ~€60k − platform/CRM and +3 FTE ~€230k → **net ≈ +€400–450k**; upfront build <€300k (fits reserves + one project grant). Asset-light.
- **Pros:** scales reach without scaling artist cost (the core flaw in Exhibit 4's cost structure); transforms the sponsorship product from logo to region (Exhibit 7b); politically attractive across OWL; fast to start.
- **Cons:** brand-dilution and quality-control risk (Brandt's veto point — answer: curated core + accreditation); partner adoption is the whole model; low revenue per event demands volume; ticketing-rake assumes platform actually used.
- **Likely judge challenge:** "Why do 300 partner events happen under your brand instead of without you?"

#### Option C — Destination reboot: compressed, site-based, ticketed campus

Collapse ten diffuse days into a 4-day fenced campus (Ravensberger Park + Hechelei + Lokschuppen): day passes €59–79, weekend passes, camping/hotel packages, full capture of F&B and merchandise margin, corporate hospitality product; keep one free city day for the political mandate.

- **Sketch economics (Y3):** ~26,000 paid at ~€44 net yield ≈ €1.14m tickets (Δ +€660k) + ancillary margin ~€240k + hospitality ~€145k + sponsorship uplift ~€120k − bigger headliners/site/weather insurance ~€780k → **net ≈ +€300–400k**, with real variance.
- **Pros:** proven economics (Elbjazz/jazzopen rows in Exhibit 6); creates the overnight/destination visitor Exhibit 2 shows is vanishing; strongest sponsorship hospitality product; no capex in buildings.
- **Cons:** concentrates the entire year into four days of weather (insurance is a must-mention); 22:00 curfew caps the headline slot; maximal Brandt conflict (this *is* "Eventisierung" unless the curated core is protected); city optics of fencing a park.
- **Likely judge challenge:** "It rains all four days in June 2028. Show me the P&L."

#### Option D — "Klangwerk": B2B cultural-services and corporate-experience unit

Monetise the organisation's real capability — producing exceptional live experiences — 50 weeks a year, through a taxable subsidiary: corporate event production, employee-culture subscriptions for Mittelstand firms (staff passes, workplace concerts, team formats), and a two-day "sound × innovation" conference for the OWL economy. Exhibits 7b (68% employee-engagement interest) and 8 (12 declined corporate inquiries) plus the Westkrone CMO quote are the planted evidence.

- **Sketch economics (Y3):** corporate production ~€620k revenue at ~32% margin (≈ €198k) + 30 employee-subscription firms × €8k at ~70% margin (≈ €168k) + conference contribution ~€120k − dedicated sales/delivery staff ~€150k → **net ≈ +€330–400k**, low capex.
- **Pros:** directly replaces the dying logo-sponsorship model with what buyers say they want; countercyclical to grants; funds art without touching the festival's shape; clean gGmbH/GmbH structure shows governance sophistication.
- **Cons:** the house has no sales DNA (hiring risk); competes with event agencies; utilisation economics; mission-drift optics; Brandt must be given curatorial authority over B2B content or will publicly disown it.
- **Likely judge challenge:** "Name your first five clients and who sells to them."

#### Option E (weak as a sole engine) — media/label/streaming or education franchise

Exhibit 8 is the planted refutation: 21,400 views yielded €412. Viable only as a supporting orbit. A team choosing this as the engine has misread the evidence; probe hard in Q&A.

**Hybrids** (e.g., A+D: the Klanghaus as the B2B delivery asset) are acceptable if — and only if — the team names one engine and shows the second element as a revenue stream *of* that engine, not a second idea.

### 4. What "Radical but Feasible" Means to Judges

Calibrate the team to this six-part test; judges apply it implicitly:

1. **Changes the engine, not the dials.** New revenue architecture, new asset, or new customer — not price/marketing/cost parameters on the existing model.
2. **Material.** ≥ €330k of net new structural contribution by Y3 (the arithmetic floor from §5); ambitious teams target €450–500k for buffer.
3. **Anchored.** Built on at least one existing asset: brand, curatorial reputation, the Güterbahnhof option, the Freundeskreis, the OWL corporate base, the volunteer corps. Radical ideas with no anchor read as fantasy.

4. **Fundable.** Total capital ≤ ~€3m with named sources consistent with the case (reserves above the €100k floor, €600k matched fund, ≤€800k guaranteed debt, campaign); no unexplained money.
5. **Survivable.** A stated downside path that never breaches the €100k reserve floor or the going-concern threshold.
6. **Mission-compatible.** Gemeinnützigkeit, KlangSchule, one free format, and a credible role for *both* directors.

*Not radical:* dynamic pricing alone, social-media/GenZ campaigns, an app, "better sponsorship sales," cost cutting. *Radical but infeasible:* a new concert hall at €40m, relocating the festival, betting the house on streaming, assuming a headline act transforms economics.

### 5. Expected Financial Backing (what the deck must contain)

Minimum artifacts — absence of any one caps the finance score at ~12/20:

- **Three-year P&L bridge** FY2026 baseline → FY2029, showing the 2027 cliff (−€120k Westkrone, −€48k city-cut scenario) and the engine's ramp.
- **Assumptions table** tied to exhibits (fill rates vs. Exhibit 1, price points vs. Exhibit 1/6, sponsorship tickets vs. Exhibit 7c, membership renewal vs. Exhibit 8).
- **Funding bridge** for any investment, with the Innovationsfonds timing respected (cash arrives FY2028, not before — teams that spend it in 2027 have missed the case's dates).
- **Sensitivity** on the two or three killer variables (e.g., utilisation, partner adoption, weather/attendance, sales conversion) with a downside that respects the €100k floor.
- **KPI dashboard** against the board's three targets.

**Coach's arithmetic anchors** (for grading, not for handing out): break-even repair ≈ €96k + reserve rebuild (€203k→€400k over 3 years) ≈ €66k p.a. + city-cut buffer €48k + Westkrone replacement €120k ⇒ ≈ **€330k minimum net new annual contribution by FY2029**. The 60% self-generation target: with public income ~€967k (post-cut), 60% self-generated implies total income ≥ €2.42m, i.e. self-generated ≥ €1.45m vs. €837k today ⇒ ≈ **+€600k gross**. Every serious option in §3 clears both bars only with disciplined execution — which is the point.

### 6. Traps and Red Flags

1. **The bouquet.** Five medium ideas instead of one engine — explicit mandate violation; cap the Idea score.
2. **Marketing-as-strategy.** "Reach younger audiences on TikTok" restates Exhibit 2 as a plan.
3. **Streaming/label as engine.** Refuted inside the case (Exhibit 8).
4. **Grant hope.** Any plan whose math needs growing structural public money contradicts Mandate §4.
5. **Killing the product.** Financing the plan by cutting the artistic budget destroys the Land-grant rationale (the case says the MKW grant is tied to profile) — a self-defeating loop strong teams name explicitly.
6. **Sponsorship hockey stick.** Sponsorship tripling with no product change collides with Exhibit 7 (flat culture market, 18% interest in logo visibility).
7. **Ignoring venue physics.** Revenue models that violate the 22:00 curfew, June availability, or capacity table are auto-flagged; check their implied fill rates against Exhibit 5.
8. **Tax/legal blindness.** Commercial activity at scale inside the gGmbH without a subsidiary structure; bonus credit for teams that handle gemeinnützig mechanics cleanly.
9. **Cash-flow blindness.** Capex committed before funding lands; reserves of €203k make sequencing a survival question, not a detail.
10. **The unmanaged humans.** No answer for Brandt *and* Hentschel means the plan dies at the first Gesellschafterversammlung; judges will ask.

### 7. Scoring Rubric (100 points)

| Criterion | Pts | Full marks look like | Typical shortfall |
|---|---|---|---|
| Problem definition & diagnosis | 15 | Quantified structural gap, 2027 cliff and 60%-target math, cited to exhibits | Restates the narrative; no arithmetic |
| The Idea: radicality, singularity, fit | 20 | One engine passing the §4 six-part test; rejected alternatives named with reasons | Bouquet of initiatives; engine is really a tactic |
| Financial plan & rigour | 20 | All §5 artifacts; internally consistent; assumptions traceable; honest downside | Hockey sticks; missing funding bridge; Innovationsfonds timing wrong |
| Implementation & stakeholders | 15 | Dated roadmap hitting the case's real deadlines; roles for both directors; first 100 days | Generic Gantt; people problem ignored |

| Criterion | Pts | Full marks look like | Typical shortfall |
|---|---|---|---|
| Risk & downside plan | 10 | Top risks with owners and triggers; reserve floor respected in downside | Risk list without mitigation or numbers |
| Communication & deck craft | 10 | Clear storyline, clean slides, exhibits cited, 25:00 landed | Text walls; overtime; appendix chaos |
| Q&A performance | 10 | All four members credible; numbers defended without the deck; concessions handled | One-person Q&A; improvised numbers |
| **Total** | **100** | | |

**Process penalties (apply before banding):** late submission −5/commenced hour (zero after 12h); wrong format/naming −3; deck edited after deadline: zero for the round. **Bands:** 85+ podium-ready; 70–84 solid, needs sharpening; 55–69 structural gaps; <55 rebuild from diagnosis.

### 8. Judge Q&A Bank (use in the 15-minute drill)

1. The city cuts 10% in 2027 anyway — what changes in your plan, by line item?
2. Why has no commercial promoter already done what you propose in Bielefeld?
3. What do you **stop** doing to free capacity for the engine?
4. Frau Brandt threatens to resign over your idea at the retreat. Your response, in her language?
5. It is June 2028 and your key assumption is running 30% under plan. What is the trigger and the move?
6. Walk me through the cash position month by month in your investment year.
7. How does your idea affect the Land NRW grant rationale?
8. Which line of Exhibit 7 does your sponsorship number rest on, and why is it not a hockey stick?
9. Why one idea? Convince me you are not underdiversified.
10. The Innovationsfonds application fails in June 2027. Plan B?

### 9. Coaching the Two Weeks (suggested sprint)

Days 1–2 diagnosis and the three arithmetic anchors; Days 3–4 diverge to 4–6 engines; Day 5 decision gate (force the choice — teams that decide late lose the finance week); Days 6–9 build the model and funding bridge; Days 10–11 deck and storyline; Day 12 red-team against §6; Day 13 two timed dry runs; Day 14 submit by 09:00, then Q&A drills only. Enforce the deadline exactly once and mercilessly — that lesson is cheaper here than in Winnipeg.